

Risks

All decisions are some sort of trade-off between the costs and benefits of potential items. Also each decision, brings with it uncertainty.

↖ The risk is directly in line with the amount of uncertainty about the future making any choices.

Risk also arises during the process of getting a task done. Risks affect the customers preferences and behaviour.

Products or services that do not create any additional gain or relieve pain but reduce the risk in consumption create tremendous value for customers. The more severe the outcome of the risk could be, the greater the value created and the greater the ability of the business to demand a premium for it, by reducing that particular risk.



Insurance policies do not create any obvious gain or relieve any obvious pain.

But they provide the customer certainty about the future and protection in case the risk materializes.

As car accidents become more and more frequent, the safety features of the car become an important factor when making a purchase decision.

Cars with airbags are instantly preferred as they reduce the impact in case of an accident.



Products that reduce potential undesired outcomes can get recognition in the market and demand a premium.